BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

COURT NO. V, NEW DELHI

Company Petition No. CP (CAA)-34(PB)/2021

CONNECTED WITH CA (CAA)-105(PB)/2020

IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Arrangements) Rules, 2016.

In the matter of Scheme of Amalgamation

OF

MAGNIPHI ESTATES PRIVATE LIMITED

(Transferor Company No. 1/ Petitioner Company No. 1)

AND

MAGNIPHI ENTERPRISES PRIVATE LIMITED

(Transferor Company No. 2/ Petitioner Company No. 2)

WITH

GANPATI FIN-LEASE PRIVATE LIMITED

(Transferee Company/ Petitioner Company No. 3)

CORAM:

SHRI P. S. N. PRASAD, HON'BLE MEMBER (JUDICIAL)
SHRI HEMANT KUMAR SARANGI, HON'BLE MEMBER (TECHNICAL)

Order Pronounced on:01.04.2022

For the Applicants: Rajeev K Goel and Kartikeya Goel, Advocates

For the RD/OL: Income Tax Department- Ms. Vibhooti Malhotra, Mr. Shailendera Singh, Me. Ekansh Dubey, Hemlata Rawat and Aayushmaan Vatsyayana for OL, Adv. Shankari Mishra for RD

MEMO OF PARTIES

MAGNIPHI ESTATES PRIVATE LIMITED

CIN: U70100DL1988PTC031929

PAN: AAC CM 9850 D

Registered Office at S-2,

Vikas Apartment, 34/1, East Punjabi Bagh,

Delhi-110026

E-mail id: mohit@magniphi.com

... Transferor Company No. 1/Petitioner Company No. 1

MAGNIPHI ENTERPRISES PRIVATE LIMITED

CIN: U74999DL2004PTC124465

PAN: AAB CJ 3687 J

Registered Office at S-2,

Vikas Apartment, 34/1, East Punjabi Bagh,

Delhi-110026

E-mail id: jca@magniphi.com

... Transferor Company No. 2/Petitioner Company No. 2

GANPATI FIN-LEASE PRIVATE LIMITED

CIN: U74899DL1995PTC067583

PAN: AAA CG 2929 B

Registered Office at S-1,

Vikas Apartment, 34/1, East Punjabi Bagh,

Delhi-110026

E-mail id: finleaseganpati@gmail.com

...Transferee Company/Petitioner Company No. 3

ORDER

Per: P.S. N. Prasad, Member (Judicial)

1. This petition has been filed by the Petitioner Company under Sections 230 and 232 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of Transferor Companies no. 1 & 2 into Transferee Company.

2. A perusal of the petition discloses that initially the First Motion joint application was filed before this Tribunal vide CA (CAA)-105(PB)2020 and based on such application, moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, wherein the meetings of the Debenture holders of the Transferee Company was dispensed with and the meeting of the Equity Shareholders and Shareholders of the Transferor Companies No. 1 & 2 and the Transferee Company were convened, through video conferencing, vide order dated 25.011.2020. None of the petitioner companies had any Secured Creditor and Unsecured Creditor.

3. Thereafter 2nd motion petition was filed, vide CP(CAA)-34 (PB)/2021, within prescribed time limit and vide order dated 26.02.2021, the Petitioners were directed to carry out publication in the newspaper, "Business Standard"

(English, Hindi Delhi Edition) and in addition, notices were directed to be served on to the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, the Income Tax Department, Official Liquidator, Reserve Bank of India and to the other relevant sectoral regulators.

4. It is seen from the records that the Petitioners have filed an affidavit dated 18.06.2021 affirming compliance of the order passed by the tribunal dated 26.02.2021. A perusal of the affidavit discloses that the Petitioners have affected the newspaper publication as directed in one issue of the 'Business Standard (English as well as in Hindi Edition) on 14.04.2021. Further, the Petitioners have also affirmed that the copy of petition has been duly served upon the Registrar of Companies, Reginal Director, Northern Region and Income Tax Department, Official Liquidator, Reserve Bank of India, in compliance of the order and in proof of the same acknowledgment from the respective offices have also been placed on record.

5. The Petitioner companies, vide affidavit dated 18.06.2021, confirmed that neither the Petitioner companies nor their Legal Counsel has received any objection/representation from any person against the petition.

6. The Petitioner companies vide affidavit dated 17.09.2021, confirmed that Department of Non-Banking Supervision of the Reserve Bank of India, New

Delhi has given its "No Objection" certificate to the Scheme of Amalgamation vide letter no. DNBS. ND. No. 190/CMS-IX/05.07.222/2021-22 dated 20.07.2021.

7. The Regional Director filed its representation dated 26.11.2021, averring:

   a. As per the report of Registrar of Companies, both Transferor and the Transferee Company have filed their Annual Return and Balance Sheet up to 2019-20. No prosecution has been filed & no inspection or investigation has been conducted in respect of the Petitioner Companies.

   b. After having examined the scheme, reply of Petitioner Companies and Registrar of Companies, its is submitted that if the transferee company will issue 9% non-cumulative compulsory Redeemable Preference Shares as purchase consideration instead of equity shares, then the abovesaid merger cannot be "Amalgamation in the nature of Merger" as stated in Para-11(e) of the scheme due to non-payment of the consideration in the form of equity shares in Transferee Company.

   c. It is prayed to direct the Petitioner Companies to amend the scheme by deleting Para-9.3 of the scheme being it contradicts the contention given in Para 11(e) of the scheme.

8. The petitioners have filed their reply dated 30.11.2021 to the objection raised by the Regional Director and has asserted that:

a. With respect to the observation of the Learned ROC, the Petitioner companies made the following submissions:

- All the Transferor Companies and the Transferee Company are closely held private limited Group Companies under common management and control.
- The Transferor Companies and the Transferee Company have duly complied with the provisions of the Companies Act, 1956/2013, the Income Tax Act, 1962 and other applicable provisions, if any, to the extent required with regard to the aforesaid allotments.
- There is no adverse finding, against any of the aforesaid allotments by any competent authority, including the Income Tax Department.
- The Income Tax Department has already filed its reports on the Scheme of Amalgamation with regard to all the Petitioner Companies and no objection or observation has been made by the Income Tax Department.
- The Petitioner Companies also clarify that in case of any adverse action is initiated by any competent authority against any of the allotments, the same will be binding on the Transferee Company pursuant to the sanction of the Scheme of Amalgamation.

b. With respect to the observation of the Learned RD, the Petitioner

companies made the following submissions:

- As provided in the Scheme, the present Amalgamation will be accounted in accordance with the provisions of section 133 of the Companies Act, 2013 and the applicable Accounting Standards.
- Clause 11 of the Scheme only gives the salient features for the accounting of the amalgamation. Further, Clause 11.g. of the Scheme clearly provides that the amalgamation shall be accounted for in such manner as to comply with the provisions of section 133 of the Companies Act, 2013, the applicable Accounting Standard(s), Generally Accepted Accounting Principles and other applicable provisions, if any.
- The observations made by the Learned Regional Director are squarely covered under the aforesaid Para 11.g. of the Scheme.

9. The petitioners have filed their additional affidavit dated 15.02.2022 in response to the representation filed by the Regional Director, Ministry of Corporate Affairs and have asserted that in consultation with the Statutory Auditors, the Board of Directors of the Petitioner Transferor Companies No. 1 & 2 and the Transferee Company in their respective meetings held on 12.02.2022 have replaced Para 11 of the Scheme.

10. The Regional Director, Northern Region, Ministry of Corporate Affairs, New

Delhi vide Additional Affidavit dated 16.02.2022 has given approval to the scheme on its merit.

11. The Official Liquidator has filed its report on 12.07.2021, wherein no specific objection has been raised against the approval of the scheme. It is submitted in the report that the Official Liquidator has not received any complaint against the proposed scheme from any person/party interested in the scheme in any manner and that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

12. In respect of all the petitioner companies, the Income Tax Department has filed its reports on 09.08.2021 and reply affidavit dated 01.12.2021, wherein no specific objection has been raised against the approval of the scheme.

13. Reserve Bank of India has not filed its report against the approval of the scheme.

14. In the petition it has been affirmed that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under the provisions of the Companies Act, 1956 are pending against the companies.

15. Certificates of respective statutory auditors of the companies have been placed on record to the effect that accounting treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standard

notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

16. In view of the foregoing, upon considering the approval accorded by the members and creditors of all the petitioner companies to the proposed scheme, as well as the objections filed by the regional director, northern region, the official liquidator, and the income tax department and being satisfied in view of affidavit of undertaking filed by the petitioner companies, there appears to be no impediment in sanctioning the present scheme. Consequently, sanction is hereby granted to the scheme under section 230 & 232 of the Companies Act, 2013. The companies however remain bound to comply with the statutory requirements in accordance with law.

17. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme, will not come in the way of action being taken, albeit, in accordance with law, against any of the concerned person, director and officials of the petitioners.

18. In compliance with requirement of section 230(7) of the Companies Act, 2013, the transferee company herein shall until the scheme is fully implemented, file with the Registrar of Companies, the statement in Form No CAA.8 along with such fees as specified in the Companies (Registration

offices and fees) Rules, 2014 within two hundred and ten days from the end of each financial years.

19. While approving the scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes, GST, or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

20. **THIS TRIBUNAL DO FURTHER ORDER(S):**

a) That the transferor companies no. 1 & 2 shall stand dissolved without following the process of winding up; and

b) That all the property, rights and powers of the transferor companies no. 1 & 2, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Companies Act, 2013, be transferred to and vets in the transferee company.

c) That all the liabilities and duties of the transferor companies no. 1 & 2, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and

d) That all proceeding now pending by or against the transferor companies no. 1 & 2, be continued by or against the transferee company; and

e) That all the employees of all the transferor companies no. 1 & 2 in service, on the date immediately preceding the date on which the scheme takes effect, i.e., the effective date, shall become the employees of the transferee company on such date without any break or interruption in services and upon terms and conditions not less favorable than those subsisting in the respective transferor companies no. 1 & 2 on the said date.

f) That petitioner company shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered all the transferor companies no. 1 & 2 shall stand dissolved and the Registrar of Company shall place all documents relating to all the transferor companies no. 1 & 2 registered with him on the file kept by him in relation to the transferee company and the files relating to the petitioner company shall be consolidated accordingly; and

g) That any person interested shall be at liberty to apply to the tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

-Sd-

(HEMANT KUMAR SARANGI)
MEMBER (Technical)

-Sd.

(P. S. N. PRASAD)
MEMBER (Judicial)